

Cash Transfers, Health, and the Transition to Adulthood

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Abstract

Can a schooling-conditioned cash transfer improve the later employment of adolescents with disabilities? Finland offers a €700-per-month benefit to encourage continued education rather than reliance on disability benefits. Using administrative data, I estimate the program's long-run effects with an instrumental-variables design based on quasi-random assignment to examiners of different leniency. Among marginal applicants—those whose approval depends on the assigned examiner—benefit receipt makes them 12 percentage points less likely to be working or studying after payments end. The benefit does not extend their education: they would have remained enrolled even without it. Instead, it weakens their early attachment to the labor market. I use comparisons of observably similar accepted and rejected applicants to assess the effects on the wider population of applicants. This analysis suggests that the program helps adolescents with the poorest prospects, moving them from disability benefits into education and improving later employment. Accounting for what recipients would do in the absence of the transfer could improve program targeting.

Keywords: disability benefits, conditional cash transfers, labor supply, mental health

JEL: I38, J13, J14, J22

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